

Internationalization and Firm Performance in Asia: An Institution-Contingent Reconception

Integrative Synthesis Essay (Kappa)

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This essay is the English-language **integrative synthesis (kappa)** of a Vietnamese-language doctoral dissertation. Following the compilation-thesis convention, it does not repeat the component studies in full; it states the single argument that binds them, shows how each component earns its place in that argument, and articulates the theoretical contribution at a register intended for an international international-business (IB) readership. All quantitative results are reported as they appear in the dissertation's results chapters and are not re-derived here.

1. Phenomenon and motivation

For four decades the internationalization–performance (I–P) relationship has been one of the most heavily researched — and most stubbornly inconsistent — questions in international business. Meta-analyses recover effect sizes ranging from strongly positive to null to negative, and functional-form claims span linear, U-shaped, inverted-U, S-shaped, and horizontal-J specifications. The dominant reconciliation, since Lu and Beamish (2004) and Contractor, Kundu and Hsu (2003), has been the **inverted-U**: early internationalization incurs liabilities of foreignness and coordination costs, an intermediate range yields scale, learning, and market-diversification benefits, and beyond a turning point governance costs overwhelm those benefits. Yet the inverted-U is itself unstable across contexts, and the field has largely treated this instability as residual noise — “context matters” — rather than as a structured, predictable phenomenon.

Three contemporary forces sharpen the puzzle and motivate this dissertation. First, an **employment and productivity imperative** across developing Asia makes the firm-level returns to internationalization a first-order policy question, not merely an academic one. Second, an **institutional spectrum** of unusual breadth coexists within a single region — from innovation-driven advanced economies (Singapore, Korea, Japan) through resource-rich Gulf states, large emerging markets (China), lower-middle-income transition economies (Vietnam), to frontier economies and Pacific Small Island Developing States (SIDS). Third, the **digital era** has altered the learning mechanism at the heart of internationalization theory, raising the question of whether digital capability changes the shape, not merely the level, of the I–P relationship. These three forces converge on a firm-level question that the existing literature answers only fragmentarily.

2. Research gap and questions

The gap this dissertation addresses is not the absence of evidence but the absence of **structure** in that evidence. Prior work has shown that institutions moderate the *magnitude* of the I–P effect (Marano et al., 2016); it has not shown that institutions govern the *sign and functional form* of the effect across a continuous spectrum, nor identified the point at which the inverted-U family ceases to apply. In parallel, the digitalisation literature has tended to conflate distinct constructs — deep technological capability versus surface-level digital adoption — obscuring their different mechanisms.

The dissertation therefore poses a central question — *How does internationalization affect the performance of Asian firms, and what institutional, digital, and managerial conditions explain the high heterogeneity in that relationship?* — decomposed into four research questions:

- **RQ1.** What is the pooled effect of internationalization on firm performance in the 1977–2026 literature, how heterogeneous is it, and which moderators systematically explain that heterogeneity?
- **RQ2.** Within specific national contexts (Singapore, Vietnam, China), through which mechanisms does the I–P relationship operate and how does its nonlinearity manifest?
- **RQ3.** Across 50 Asia-Pacific economies (including seven Pacific SIDS), do the moderating roles of digital adoption (DAI) and technological capability (TCI) generalise, and do these two constructs in fact operate through different mechanisms?
- **RQ4.** What is the role of institutions (the ICRV sub-regimes), of the TCI–DAI distinction, and of top-manager characteristics in moderating the I–P relationship, and what does their three-way interaction imply?

3. Theoretical framework: the CDCM architecture

The dissertation's theoretical contribution is organised by a single integrative architecture, the **Country–Digital–Capability Moderation (CDCM)** framework, which combines four classic theories with a digital-capability lens not as a mechanical concatenation but as an internally consistent multi-tier explanation in which each tier accounts for a distinct source of heterogeneity in the I–P relationship.

- The **Uppsala internationalization model** supplies the baseline learning logic and, extended for the AI era, a "data-augmented learning" mechanism (Banalieva & Dhanaraj, 2019).
- The **resource-based view** (Wernerfelt, 1984; Barney, 1991) frames technological capability as an absorptive, depth-of-capability resource that widens the adaptation frontier.
- **Institutional theory** (North, 1990; Khanna & Palepu, 2010) supplies the macro tier and, crucially, the claim that institutional context conditions firm strategy outcomes.
- **Upper-echelons theory** (Hambrick & Mason, 1984) supplies the individual tier of manager experience and diversity.

The macro tier is operationalised through the **Institutional Context Regime Variation (ICRV)** classification, a six-regime taxonomy (I innovation-driven advanced; II resource-based advanced; III upper-middle; IV lower-middle transition; V emerging; VI SIDS) that converts a continuous institutional spectrum into a testable firm-level moderator. The contribution of ICRV is not the addition of a categorical control but the provision of a systematic way to predict how the turning point of the I–P curve shifts with institutional regime — turning the qualitative claim “context matters” into a falsifiable quantitative proposition. The apex of the architecture is the **Forced Internationalization Penalty (FIP)**, a named boundary condition stating that when all three CDCM tiers are simultaneously minimal, the I–P relationship loses not only its early-stage benefit but its inverted-U form, tilting toward a monotone-negative limiting case.

4. The compilation and how each component earns its place

The dissertation is a compilation of ten component studies plus a supplementary book chapter, spanning a meta-analysis, five single-country estimations distributed across the institutional spectrum, one 50-economy pooled test, and two boundary cases. The empirical backbone is harmonised World Bank Enterprise Surveys (WBES) microdata across three questionnaire generations (PICS3, Standardized, BREADY/BEE), 2006–2026. The frame hierarchy is explicit: a classification pool of 96,415 firms / 52 labels narrows to an analytic frame of 88,869 firms / 50 economies / 103 economy-year cells, within which the labour-productivity-valid descriptive frame is 84,998 firms / 107 cells, and the capstone P7 regression frame is 81,022 (M2) / 79,080 (M5).

Table 1 traces the **golden thread** — the line that runs from each research question, through the components that answer it and the hypotheses they test, to the empirical finding and the theoretical contribution it supports. Read across, each row shows the internal consistency of one link; read down, the rows show how independent pieces of evidence accumulate into one claim.

Table 1. *Golden thread: research question → component (ICRV regime) → hypothesis → key finding → theoretical contribution.*

RQ	Component (ICRV)	Hypothesis	Key empirical finding
Foundation	P1 — 17-economy Asian baseline ($N = 40,633$)	Foundational (CDCM)	Regional productivity stratification; digit
RQ1	P6 — global meta-analysis	H1, H5	$k = 238$; small positive pooled $\bar{r} = 0.074$;
RQ2	P4 — Singapore (I)	H1, H3	Near-linear positive; turning point $\sim 88.6\%$
RQ2	P3 — Vietnam (IV)	H1, H2, H3	Sharp inverted-U, turning point 39.3–46.3%
RQ2	P5 — China 2012–2024 (III); P2 — Chinese SMEs	H1, H6	Turning point stable $\sim 48.78\%$ (Paternoster)
RQ3	P7 — 50-economy pooled	H1, H2, H3, H5	$N = 81,022 / 79,080$; turning point 43.6–50.0%
RQ3	P8 — Pacific SIDS (VI)	H1b	Structure loss: slope -0.085 ($p_{\text{wild}} = .66$)
RQ4	P7 — full ICRV spectrum	H5	Turning point shifts by regime (Group IV)
RQ4	P9 — India 2014–2025 (IV)	H1c	Turning point dissolves : 61.8% (2014) →
RQ4	P10 — Japan 2025 (I)	H1 (upper bound)	Near-linear positive, turning point outside
RQ4	Book chapter — India, governance (IV)	H4	ROS: experience +1.55, female leadership

Note. Figures are reproduced from the dissertation's results chapters (§4.2–§4.9; §5.6.1). ICRV groups: I = innovation-driven advanced; III = upper-middle; IV = lower-middle transition; VI = SIDS.

5. The integrated finding: a three-zone morphology

Placed side by side, the full set of ten component studies plus the supplementary book chapter — the 17-economy foundational study (P1), the global meta-analysis (P6), five single-country estimations (P2–P5, P9), the 50-economy pooled test (P7), two boundary cases (P8 SIDS, P10 Japan), and the governance-tier book chapter — converge on a single, falsifiable theoretical claim: **internationalization improves firm performance through a functional form that is itself a function of institutional position**. The thickness of the institutional cushion determines whether the I–P relationship is near-linear positive, a sharp inverted-U, or structurally absent and sign-reversed.

Concretely, a **three-zone morphology** organises the entire body of evidence as a continuous expression of one institutional mechanism rather than three separate phenomena:

- **Upper bound** (Group I, innovation-driven advanced; Singapore P4, Japan P10): the downslope is pushed out beyond the feasible export range, so within the data the relationship is near-linear positive; the mechanism shifts from the intensity margin to the participation margin (export-versus-not), consistent with Melitz-type self-selection.
- **Anchor regimes** (Groups III–IV, upper-middle and lower-middle transition; China P5/P2, Vietnam P3, India P9): the inverted-U is sharpest and best-identified, with turning points clustering around 40–49%; independent single-country estimates converge on this band without being constrained to do so — an out-of-sample coincidence that resists a specification-search reading.
- **Lower bound** (Groups V–VI, emerging and SIDS; P7, P8): structure is lost. In Group V the coefficients lose significance; in the SIDS regime the inverted-U dissolves and the relationship tilts toward the monotone-negative FIP limiting case.

This finding elevates the field's classic claim from "context matters" (institutions moderate the *magnitude* of the effect) to **context-contingency** (institutions moderate the *sign and form* of the effect), and it identifies explicitly the point — the SIDS regime — at which the entire inverted-U theory family ceases to apply.

6. Theoretical contributions

Following the criteria of originality × utility (Corley & Gioia, 2011) and what/how/why (Whetten, 1989), the dissertation makes four contributions, each stated as a falsifiable proposition with explicit scope conditions.

1. **DAI as a situational resource, distinct from TCI as a foundational capability.** The 50-economy evidence shows DAI raising the performance level universally ($+0.201$, $p < .001$) but bending the I–P curve only context-dependently (clearest in the strong-institution single-country case, P4), with its moderating effect *stronger* in weaker-institution regimes — a ”digital shield” that compensates for institutional deficits. This separates two constructs the literature routinely conflates and specifies *how* each operates (level-shift versus curve-bend).
2. **The Forced Internationalization Penalty (FIP).** A newly named boundary condition specifying that when domestic-market size, trade costs, and institutional support are simultaneously adverse, the I–P relationship loses its inverted-U form. Its value is theoretical beyond any single estimate: it demarcates the application boundary of a whole family of internationalization theories that tacitly assume minimum structural conditions are met. The accompanying SIDS evidence (P8) is treated transparently as exploratory and data-version-sensitive.
3. **The six-regime ICRV taxonomy.** A region-specific institutional classification that converts a continuous spectrum into a testable moderator capable of predicting turning-point location by regime — a methodological-theoretical instrument with reuse value beyond this dissertation.
4. **Institutional stability as an implicit premise of the I–P literature.** By identifying both the boundary at which the inverted-U dissolves (FIP) and the temporal process by which intense institutional transition dissolves the threshold (India P9, H1c), the dissertation makes explicit a premise the literature had left tacit.

7. Boundary conditions and identification

A contribution that meets international standards must state not only what it claims but the conditions under which the claim holds and the inferential basis that supports it (Santangelo & Verbeke, 2022). The CDCM framework applies at the **firm level**, with internationalization measured as **export intensity** (the sales-based dimension of the degree of internationalization; Sullivan, 1994); other dimensions (geographic scope, FDI-based commitment depth) are out-of-scope boundary conditions to be replicated. It is calibrated on the **Asia-Pacific institutional spectrum, 2006–2026**; extension to other regional configurations is an open scope test. It assumes three minimum structural conditions, and the explicit identification of their joint violation (the SIDS/FIP case) is precisely how the framework states the boundary of its own application.

On causal identification the dissertation is consistently cautious: the design is **repeated cross-section**, so claims are read as conditional structural relationships rather than point-identified causal effects. The credibility of the central claim rests not on any single estimate but on **triangulation across five identification sources with non-overlapping biases**: (i) instrumental-variable estimation for digital adoption, whose near-null instrumented coefficient *deflates* rather than inflates the DAI–performance association; (ii) Oster bounds on selection on unobservables; (iii) Paternoster

cross-wave coefficient-stability tests; (iv) sign-consistency across many specifications as a baseline inferential principle; and (v) the convergence of the meta-analysis (P6) and the firm-level pooled estimation (P7), two methods with different bias structures that nonetheless locate institutions as the pivotal moderator. When five sources with mutually compensating weaknesses point to one conclusion, the structural claim becomes hard to attribute to a single analytic artefact, even where each source alone falls short of point causal identification.

8. Implications

For **theory**, the dissertation reframes a four-decade debate: the question is not "is the I–P relationship positive, negative, or inverted-U?" but "at what institutional position does each form obtain?" For **practice and policy**, it replaces a one-size-fits-all prescription with a regime-conditioned policy map: in strong-institution regimes, remove expansion ceilings and raise absorptive-capacity ceilings; in transition regimes, identify the optimum and avoid over-expansion ahead of coordination capacity; in the SIDS regime, address structural trade-cost and institutional constraints before expecting internationalization to improve performance — because there internationalization is a survival burden, not a competitive-advantage choice.

9. Limitations and future research

The principal limitations are stated as study weaknesses distinct from the framework's boundary conditions: the single-dimension (export-intensity) operationalisation of internationalization; the labour-productivity (rather than multidimensional) performance measure; the repeated-cross-section design; and the platform-level operationalisation of digital adoption. Each maps to a future-research direction: multidimensional DOI measures, multidimensional performance, genuine firm-level panels (the forthcoming WBES core panel), richer Tier-2 digital measures, and replication of the three-zone morphology beyond Asia-Pacific.

10. Concluding statement

The dissertation's single new sentence to the field is this: across the institutional spectrum of Asia and the Pacific, the form of the internationalization–performance relationship is itself governed by institutions, such that the inverted-U is one regime-specific case within a continuum that runs from near-linear reward at the upper bound to structural penalty at the lower bound — and the dissertation identifies, and names, the point at which the inverted-U no longer applies.

Citation note: all references appear in the dissertation's APA-7 reference list (thesis/04_references_apa7.md). This synthesis introduces no claims or figures beyond those in the Vietnamese dissertation chapters.